7. INCOME TAXES

The components of the provision for income taxes for income from operations are as follows (in millions):

	Year ended December 27, 2007	Year ended December 28, 2006	Year ended December 29, 2005
Federal:			
Current	$ 199.2	$ 63.9	$ 62.3
Deferred	(4.8)	(15.6)	(11.9)
Total Federal	194.4	48.3	50.4
State:			
Current	48.1	13.6	13.9
Deferred	0.4	(4.2)	(3.6)
Total State	48.5	9.4	10.3
Total income tax provision	$ 242.9	$ 57.7	$ 60.7

During the years ended December 27, 2007, December 28, 2006, and December 29, 2005, a current tax benefit of $15.3 million, $14.1 million and $13.8 million, respectively, was allocated directly to stockholders' equity for the exercise of stock options and dividends paid on restricted stock.

A reconciliation of the provision for income taxes as reported and the amount computed by multiplying the income before taxes and extraordinary item by the U.S. federal statutory rate of 35% was as follows (in millions):

	Year ended December 27, 2007	Year ended December 28, 2006	Year ended December 29, 2005
Provision calculated at federal statutory income tax rate	$ 212.1	$ 50.4	$ 53.4
State and local income taxes, net of federal benefit	27.6	6.1	6.7
Other	3.2	1.2	0.6
Total income tax provision	$ 242.9	$ 57.7	$ 60.7

7. INCOME TAXES (Continued)

Significant components of the Company's net deferred tax asset consisted of the following at (in millions):

	December 27, 2007	December 28, 2006
Deferred tax assets:		
Net operating loss carryforward	$ 54.9	$ 63.4
Excess of tax basis over book basis of intangible assets	—	22.4
Deferred revenue	112.1	—
Deferred rent	37.3	33.7
Interest rate swaps	5.0	—
Other	13.7	7.5
Accrued expenses	0.5	0.8
Total deferred tax assets	223.5	127.8
Valuation allowance	(10.5)	(36.6)
Total deferred tax assets, net of valuation allowance	213.0	91.2
Deferred tax liabilities:		
Excess of book basis over tax basis of fixed assets	(78.0)	(67.9)
Excess of book basis over tax basis of intangible assets	(3.5)	—
Excess of book basis over tax basis of NCM joint venture and other	(66.2)	(0.2)
Interest rate swaps	—	(0.9)
Other	(1.8)	(0.2)
Total deferred tax liabilities	(149.5)	(69.2)
Net deferred tax asset	$ 63.5	$ 22.0

At December 27, 2007, the Company had net operating loss carryforwards for federal income tax purposes of approximately $128.2 million with expiration commencing in 2012. The Company's net operating loss carryforwards were generated by the entities of United Artists, Edwards and Hoyts. The Tax Reform Act of 1986 imposed substantial restrictions on the utilization of net operating losses in the event of an "ownership change" of a corporation. Accordingly, the Company's ability to utilize the net operating losses acquired from United Artists, Edwards and Hoyts may be impaired as a result of the "ownership change" limitations.

In assessing the realizable value of deferred tax assets, management considers whether it is more likely than not that some portion or all of the deferred tax assets will not be realized. The ultimate realization of deferred tax assets is dependent upon the generation of future taxable income during the periods in which these temporary differences become deductible. The Company has recorded a valuation allowance against deferred tax assets at December 27, 2007 and December 28, 2006 totaling $10.5 million and $36.6 million, respectively, as management believes it is more likely than not that

7. INCOME TAXES (Continued)

certain deferred tax assets will not be realized in future tax periods. Approximately $8.0 million and $33.7 million of the valuation allowance relates to pre-acquisition deferred tax assets of Edwards and United Artists as of December 27, 2007 and December 28, 2006, respectively. Accordingly, future reductions in the valuation allowance associated with a change in management's determination of the Company's ability to realize these deferred tax assets will reduce recorded goodwill related to such acquisitions. During the year ended December 27, 2007, the valuation allowance was reduced by $25.5 million as a result of management's determination that certain net operating losses would more likely than not be realized. Additionally, the valuation allowance was reduced by $1.0 million as a result of a reduction in the deferred tax asset against which such valuation allowance was recorded. Lastly, during fiscal 2007 the valuation allowance was increased by $0.4 million related to management's determination that it was more likely than not that certain state net operating losses would not be realized.

Effective December 29, 2006, the Company adopted the provisions of FASB Interpretation No. 48, "Accounting for Uncertainty in Income Taxes—an interpretation of FASB Statement No. 109" ("FIN 48"). Relative to the implementation of FIN 48, the Company recognized a $12.4 million reduction of its recorded liabilities with a corresponding $7.1 million decrease to non-current deferred tax assets, a $1.6 million decrease to goodwill and a $3.7 million increase in retained earnings. A reconciliation of the change in the amount of unrecognized tax benefits during the year ended December 27, 2007 was as follows (in millions):

Balance at December 29, 2006	$ 32.5
Additions based on tax positions related to the current year	7.6
Expired tax attributes	(1.3)
Lapse of statute of limitations	(0.9)
Balance at December 27, 2007	$ 37.9

Exclusive of interest and penalties, it is reasonably possible that gross unrecognized tax benefits associated with state tax positions will decrease between $2.5 million and $4.0 million within the next twelve months due the expiration of the statute of limitations and settlement of tax disputes with taxing authorities. Additionally, the Company has determined that it is reasonably possible that between $0.5 million and $1.0 million of such reduction will be the result of payments made in settlement of state tax disputes.

The total net unrecognized tax benefits that would affect the effective tax rate if recognized were $5.7 million as of December 27, 2007. Additionally, as of December 27, 2007, approximately $1.6 million of the total net unrecognized tax benefit would result in an increase to the valuation allowance if recognized. The remaining net unrecognized tax benefits as of such dates would impact goodwill if recognized.

7. INCOME TAXES (Continued)

The Company recognizes interest and penalties accrued related to unrecognized tax benefits as a component of income tax expense. As of December 27, 2007, the Company has accrued gross interest and penalties of approximately $3.8 million. The total amount of interest and penalties recognized in the statement of income for the period ended December 27, 2007 is $0.6 million.

The Company and its subsidiaries collectively file income tax returns in the U.S. federal jurisdiction and various state jurisdictions. In June 2005, the Company was notified that the Internal Revenue Service ("IRS") would examine its 2002 and 2003 federal income tax returns. During October 2005, the IRS completed its examination of the Company's federal tax returns for such years and the Company and the IRS agreed to certain adjustments to the Company's 2002 and 2003 federal tax returns. Such adjustments did not have a material impact on the Company's provision for income taxes. The Company is no longer subject to U.S. federal examinations by tax authorities for years before 2004, and with limited exceptions, is no longer subject to state income tax

examinations before 2003. However, the taxing authorities still have the ability to review the propriety of tax attributes created in closed tax years if such tax attributes are utilized in an open tax year.